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A contextual account of the trade mark functions theory

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Cases cited

[Arsenal Football Club Plc v Reed \(C-206/01\) EU:C:2002:651; \[2003\] Ch. 454; \[2002\] 11 WLUK 328 \(ECJ\)](#)

[Adam Opel AG v Autec AG \(C-48/05\) EU:C:2007:55; \[2007\] E.C.R. I-1017; \[2007\] 1 WLUK 518 \(ECJ \(1st Chamber\)\)](#)

[O2 Holdings Ltd \(formerly O2 Ltd\) v Hutchison 3G Ltd \[2006\] EWCA Civ 1656; \[2007\] 2 C.M.L.R. 15; \[2006\] 12 WLUK 49 \(CA \(Civ Div\)\)](#)

[O2 Holdings Ltd v Hutchison 3G UK Ltd \(C-533/06\) EU:C:2008:339; \[2009\] Bus. L.R. 339; \[2008\] 6 WLUK 279 \(ECJ \(1st Chamber\)\)](#)

Legislation cited

[Directive 2008/95 art.5](#)

***I.P.Q. 230** *The functions theory continues to be one of the most contentious issues in contemporary European trade mark law. In this article, I propose a reading of the CJEU jurisprudence by emphasising the theoretical distinction between trade mark use doctrine, as a defensive theory of immunisation, and functions theory operating through a contextual assessment. By focusing on confusion-based claims, I argue that the development of the functions theory is intertwined with and most productively understood alongside the increasing role of context in trade mark infringement. It should be seen as a doctrinal device that, together with a more realistic (or hybrid) construction of the average consumer, enabled infringement assessment to be infused with market realities, in response to the problems of abstraction that an expansionary trade mark*

doctrine had created. The emerging approach to the origin function has important lessons for how other functions ought to be assessed during infringement analysis.

The functions theory developed by the Court of Justice continues to be one of the most contentious issues in contemporary European trade mark law. Initially created as a safety valve in response to so-called "absolute protection" in double identity cases, some argue that the genie has been let out of the bottle after the CJEU expressly recognised that functions other than the traditional origin function are entitled to legal protection.¹ These functions now seemingly pervade the other causes of action for infringement; likelihood of confusion is associated with harm to the origin function of a trade mark, while other brand-related functions are relevant for dilution.

In this article, I contend that a coherent reading (and application) of the functions theory is not only possible, but desirable.² While commentators have often focused their analysis on functions providing a substantive standard for infringement³ or critiqued the absence of a positive definition of other functions,⁴ I suggest that the functions theory could be better explained by shifting the debate to methodology. In so doing, I offer a different interpretation of the CJEU jurisprudence by emphasising the theoretical distinction between the trade mark use doctrine, as a defensive theory of immunisation, and the functions theory operating through a contextual assessment.⁵ Contrary to the assumptions of some national courts,⁶ trade mark use and functions are not one and the same; both are present in European trade mark law and have been applied on different occasions.

**I.P.Q. 231*

By focusing on confusion-based claims, I attempt to show that the development of the functions theory and an increasing awareness of *context* in infringement are entwined. My analysis suggests that the functions theory should be seen as a doctrinal device that, together with a more realistic (or hybrid)⁷ construction of the average consumer, enabled infringement assessment to be infused with market realities, to respond to a problem that an expansionary trajectory of trade mark law had created. I further propose that the functions theory is best understood through comparison and contrast with the trade mark use debate in the US.

An account of the functions theory together with the development of context could provide a better explanation to what is otherwise considered an incoherent body of case law. While *Arsenal*⁸ is normally taken as the landmark functions case, I would rather suggest that focus be shifted to *Adam Opel*.⁹ By infusing infringement assessment with market realities, the functions theory assumes a contextual character that finds no parallel in the abstract logic of trade mark use. In the reading I propose, the contribution of *Arsenal* does not reside in articulating trade mark functions language—that is, infringement depends upon the use of the sign affecting or being liable to affect the functions of the mark¹⁰—which can be traced back to earlier exhaustion cases.¹¹ Instead, the relevance of *Arsenal* resides in the CJEU holding that the term "use" in [art.5\(1\) of the Trade Marks Directive](#) is an autonomous and uniform concept of European law.¹² This enabled the European Court to extend the boundaries of trade mark law—which would happen based on such a broad

reading of use—and set the stage for the emergence of trade mark use as a doctrine of immunisation in *Google France*.¹³

This analysis is potentially useful in at least two ways. First, it indicates that the CJEU might be relocating the centre of gravity of trade mark law from the formal universe of the registrar to the everyday experience of the consumer, a proposition finding some support in recent decisions of national courts. Secondly, it argues that the origin function seemingly departed from a more conventional paper-based approach, with infringement becoming increasingly contextual. This further suggests that other trade mark functions may be taking a different path, relying more on untested assumptions of consumer behaviour, which would produce inconsistencies that ought to be addressed in the future.

The article unfolds as follows. The first part begins with an account of the development of the functions theory in *Adam Opel* through a more reality-based, contextual infringement assessment. The second part attempts to draw the doctrinal distinction between functions theory and trade mark use by comparison and contrast with the US law doctrine. The third part suggests that the extension of the functions theory to likelihood of confusion in *O2 Holdings* was made possible by infusing infringement assessment with contextual matter, where the origin function would impose a threshold of harm. The fourth part then proposes another reading for *Arsenal* that would better fit the European law framework. The fifth part concludes. *I.P.Q. 232

Adam Opel—harm to the origin function is context-dependent

Following a line of controversial decisions introducing a broader reading of the trade mark use requirement,¹⁴ *Adam Opel* is known for shaping the functions theory as a limiting doctrine.¹⁵ I argue that the operation of the origin function to demarcate scope of protection was made possible by having resort to the context of market practices and consumer understanding often neglected in infringement assessment. Departing from a paper-based methodology which would call for the comparison of mark and sign insulated from market realities, it lays the foundations for the doctrinal development of a contextual assessment heralding a more substantial change in confusion-based infringement than anticipated.

Adam Opel was more than a simple double identity case dealing with the reproduction of the mark of the original car in replica toy models. It showed that because the CJEU had been expanding European trade mark law, an infringement assessment foreclosing market realities could produce undesirable results. Indeed, the underlying facts suggest that this was a merchandising case concealing the normative question of whether trade mark law should allow for intervention in long-established market practices, or whether the so-called absolute protection under double identity overrides actual consumer understanding in the marketplace.¹⁶

In Germany, there was a longstanding independent market for nearly perfect replica toy cars where the reproduction of the sign of the original car manufacturer was commonplace. Specifically, "a model car without the sign of the respective manufacturer would lose the character of a model

car; it would be any toy car and not a model car".¹⁷ It was only in the late 1990s, after "the car industry ha[d] perceived the economic potential of these objects through merchandising",¹⁸ that the practice of licensing trade marks for such products began. In this context, Opel emerged as a latecomer, trying to clean up this independent market by asserting trade mark rights against manufacturers of replica toy cars.

An argument can be made that the reproduction of Opel's mark in replica toy cars was a matter of commercial necessity. It consisted of a feature of the product not only desired but also required by consumers. Should enforcement of the registered mark be allowed under these circumstances (Opel had registered the same mark for toys), independent manufacturers would be precluded from producing the nearly perfect replica models that consumers desired. It follows that if the sign were to be stripped from the products, consumers would be driven to purchasing licensed products only.¹⁹ The enforcement of the mark would therefore have a foreclosure effect of driving independent producers away from the market.²⁰ In truth, a finding for infringement under double identity would not come out as surprising; on paper, this case involved the reproduction of an identical mark in car models and toys that were nominally the same products claimed in Opel's registration. The CJEU jurisprudence indicated that the sign had been used in the course of trade,²¹ and the Regional Court in Germany leaned towards an infringement finding at the time that the order of reference was made. **I.P.Q. 233*²²

However, the factual context of the case would tell a different story. Because sales of miniature model cars had been commonplace in Germany since 1898,²³ consumers were not inclined to believe that any product bearing the mark had to be licensed. Indeed, it was a feature of the market that models were nearly perfect miniature replicas of the original real car:

"If, at the outset, the objective was to reproduce reality in miniature for a very specific group, children, in order to bring the adult world within their reach, a target group has little by little widened, to include also adult collectors. This latter group has probably increased the demands in the quality of the reproduction, requiring the greatest possible accuracy in the model. The design of this type of article does not therefore rely on copying the most significant characteristics, but also in replicating even the tiniest ones."²⁴

Thus the CJEU dealt with such a monopoly threat to the miniatures market, as the Commission defined it,²⁵ by assimilating into infringement the context that evidence reflecting market practices and consumer understanding had provided. The rationale in so doing was twofold. First, the infringement assessment should be gauged by the perceptions of the average consumer. Instead of simply relying on a comparison between mark and sign on paper, the average consumer should be infused with perceptions of the relevant public inhabiting the marketplace. Secondly, a finding for infringement would still depend upon harm to the origin function. In this view, a paper-based comparison becomes unsuitable because it fails to address whether the origin function has been impaired in the perception of the average consumer. It does not ask, let alone answer, the question

of whether consumers buying the replicas were actually thinking they were purchasing replicas made or licensed by Opel. Such a distinction became apparent when the dispute was decided back in Germany. According to the Bundesgerichtshof:

"Where the defendant affixed the Opel Blitz logo to the radiator grille, the consumer would understand this as a faithful reproduction of the original vehicle and associate it—if at all—with a trade mark for vehicles rather than a trade mark for toy cars." ²⁶

The incorporation of context dictated that the economic link under double identity had to be established by reference to the perceptions of real consumers in relation to the origin of the *products claimed in the registration*. This arguably enabled the operation of the functions theory as a relief valve to the otherwise absolute protection of double identity. A connection should be established with the origin of the car models as such, where consumers think the toy products covered by the registration were being produced or licensed by the car manufacturer (i.e. the registrant) rather than merely recalling the actual Opel car, namely,

"it is irrelevant whether the relevant consumers regard the mark affixed on the model car as being the claimant's trade mark registered and used for motor vehicles. Rather, it is essential that the consumers regard the mark as an indication of origin of the model cars as such". ²⁷

This also suggests that the functions theory was used to anchor trade mark law to market realities by establishing a threshold of harm to the origin function that seemingly worked as a materiality requirement. **I.P.Q. 234* ²⁸ A finding of infringement appears to depend on the risk of misrepresentation, the mere notion of confusion between signs taken in isolation being insufficient to that end.

How functions differ from (European) trade mark use

Because of the outcome of dismissing infringement under double identity, which was thought to provide absolute protection, *Adam Opel* has been generally seen as a *use as a trade mark* decision. ²⁹ However, I contend that this is an incomplete characterisation. Rather, *Adam Opel* is a decision about the nature of infringement assessment concealing a deeper methodological shift in determination of confusion. And a coherent reading of the CJEU jurisprudence can be drawn on the theoretical distinction between the trade mark use doctrine, as a defensive theory of immunisation, and the functions theory operating through a contextual assessment. I further argue that both are present in European trade mark law and have been applied on different occasions. This theoretical framework turns on the CJEU appropriating trade mark use terminology to give it new EU-wide meaning—one different from the notion that national courts were accustomed to—which can be better explained by comparison and contrast with the concept developed in the US scholarship.

Briefly explained, trade mark use doctrine is a theory grounded on legal formalism. It attempts to build a general defence on the rationale that some categories of use of a sign, abstractly considered,

should be immunised from liability.³⁰ Mark Lemley and Stacey Dogan, perhaps the best known proponents of this theory, argue that:

"The trademark use requirement serves a gatekeeper function, limiting the reach of trademark law without regard to a factual inquiry into consumer confusion. The rationale for the doctrine stems from the practical reality that it would be both unwise and impossible to permit trademark owners to control every use of their marks."³¹

The doctrine of trade mark use therefore sought to constrain what had been defined as an unwarranted expansion of trade mark law, particularly in the internet context. It presupposes that some activities such as search engines and keyword advertising are beneficial to consumers—because they increase the flow of information, arguably reducing search costs³²—and thus should fall outside the reach of trade mark law. It is inherently normative; immunisation from trade mark liability is justified to pursue pre-determined policy objectives. The main source of criticism of the doctrine lay in the formulaic nature of such an approach. It purported to further policy objectives which, however appealing in principle, derived from untested assumptions. It sought support on the law and economics discourse, and yet it has been articulated through legal formalist reasoning. According to Graeme Dinwoodie and Mark Janis:

"For example, in the context of keyword-triggered advertising, trademark use theorists reach their conclusion about the effect of search engine activity on search costs not by any empirical analysis of that activity, but rather simply by labeling the type of use. As a result, their conclusion rests heavily on conjecture."³³

For the purposes of this analysis, suffice it to say that the US trade mark use doctrine was essentially divorced from context. Determination of non-trade mark use was not a factually intensive endeavour, nor **I.P.Q. 235* was it disposed to inquire how consumers would perceive the sign in the marketplace. The overarching purpose of the theory was to obviate infringement assessment; claims would be dismissed in summary judgment without the need for the court to undergo likelihood of confusion analysis. Trade mark use, its proponents have argued, would enable specific economic operators to dispose of infringement claims easily, giving them incentives to develop activities which were thought beneficial to consumers. The problem with this utilitarian view, however, rests on how to decide which activities should be awarded immunisation with no recourse to empirical evidence, and to extrapolate generalised models which fail to account for differentiation in trade mark law. This abstract, a priori reasoning is a particular feature of the doctrine.

And perhaps this is a feature making US trade mark use fundamentally different from the notion of trade mark use that used to inform trade mark law and passing off in the UK. Specifically, "use as a trade mark" language can be traced back to early 20th-century cases such as *Young v Grierson*.³⁴ In deciding whether use of a similar representation of a Portuguese ox cart on port wine labels would be infringing, the Court of Appeal held that:

"On the construction of [Section 39 \[of the Trade Marks Act 1905\]](#) it seems to me clear that the right there defined is only infringed if the registered mark is used as a trade mark as defined by [Section 3](#) ... In the present case I think the Defendants have, for the reasons that I have given, established that they are not using the picture for such a purpose." ³⁵

Similarly, in *Irving's Yeast-Vite* the Court of Appeal found that there had been no trade mark use insofar as the name "Yeast-Vite" on the defendant's label would not indicate that the products were the claimant's. ³⁶ But while those earlier decisions may suggest at first blush that the UK has long embraced trade mark use doctrine, some explanation is necessary. [Section 39 of the Trade Marks Act 1905](#) consisted of a broad provision that would be more akin to double identity under current trade mark law. ³⁷ And consideration of such trade mark use points towards a confusion-based analysis that is far more contextual than the trade mark use doctrine advanced in the US. Indeed, *Young v Grierson* shows a regard for market realities that is methodologically closer to trade mark functions operating in *Adam Opel*, ³⁸ which may also provide an explanation for the apparent incoherence in *Arsenal* that I will address later. ³⁹ The UK trade mark use inquiry raised a set of considerations such as how consumers perceived the mark, and whether such a use was commonplace on the market. ⁴⁰ It was therefore conceived as a gloss allowing courts to factor in confusion-based analysis which did not find much support in statutory language at the time. ⁴¹ A few years later, in *JB Stone v Steelace*, the issue of trade mark use resurfaced as follows:

"Upon the true construction of this advertisement in the British Trade Journal, is there a user here by the Defendants of 'Alligator' in terms of the 'Alligator pattern' as indicative that the goods of the 'Alligator Pattern' originate from them? If they have used it in that way, then they have in my opinion infringed the Trade Marks. **I.P.Q. 236* " ⁴²

The claimant had become known for selling flexible steel belt lacing "of a type previously unknown in the trade, and differed in material respects from other types of belt lacing". ⁴³ Such a belt was imported and marketed as "Alligator" in the UK. The defendant, in attempting to sell the same model, albeit under another mark, advertised it as "alligator pattern". Romer J gave judgment, finding no trade mark use. But this was no abstract, a priori determination. Rather, the learned judge examined the advertising piece to determine whether consumers, in seeing "alligator pattern" alongside the words "Steelace Belt-lacing" would think that the defendants' products originated from the claimant. ⁴⁴ On appeal, the judgment was reversed on the basis that part of the consumers could think that the advertised products originated from the claimant. ⁴⁵

The application of trade mark use in those early cases therefore suggests a contextual, confusion-based analysis to offset an otherwise absolute property right, sometimes imbued with passing-off methodology. ⁴⁶ And later re-enactments of trade mark use under the [Trade Marks Act 1938](#) still displayed a contextual character. In *Mothercare*, non-trade mark use followed from the court

considering the words "mother" and "care" being placed on a book cover together with "other care", and the meaning they would convey to consumers.⁴⁷ Mothercare had become known for selling goods for expectant mothers, babies and children in the UK. Such goods included the *Complete Mothercare Manual*, which contained

"a great deal of sensible and useful advice for mothers on how to cope with the manifold problems they will encounter both during pregnancy and with their babies".⁴⁸

The *Mothercare* mark had been registered in respect of a number of goods, in particular books. Penguin, the defendant, attempted to publish a book by a psychology professor at the University of Virginia, titled *Mother Care/Other Care*. The book itself, which the court would define as thought-provoking, consisted of "a serious sociological study of the problems facing working mothers who have to delegate the care of their children to others",⁴⁹ bearing no relationship with or reference to the claimant's work.⁵⁰ It is possible, if not likely, that much of the passing-off evidence reflecting market realities fed into the trade mark use assessment so that determination would have been reached.⁵¹ According to Bingham LJ (as he then was):

"I do not, for reasons already given, think that the defendant's incorporation of the two words Mother Care in the title of this book is at all likely to be taken as referring to the plaintiff or the plaintiff's goods." ⁵²

Again, this was no abstract, a priori determination that would give rise to immunisation of a given practice labelled as non-trade mark use. The Court of Appeal did not rule that, as a matter of law, book titles would never be protected under trade mark law. **I.P.Q. 237* ⁵³

In more recent years, "use as a trade mark" became an often asked question in UK merchandising cases. It is identifiable as a proxy to goodwill, one of the elements of the classic trinity in passing off.⁵⁴ Instead of readily assuming that the relevant public would associate the sign with the claimant, courts would rather inquire about the extent to which such a sign had been used in merchandising. But such an assessment also displayed a normative character in weighing the investments that the claimant had made in the goodwill; the way such an activity had been carried out in the UK was of great relevance to this question. Indeed, one might even argue that trade mark use was tantamount to a local working requirement in that protection should be merited rather than readily assumed.⁵⁵ In *Mirage Studios*, the popularity that the *Ninja Turtles* TV show had gained, along with the licensing and marketing of merchandise ranging from T-shirts and apparel to toys and video-games, were material in establishing trade mark use.⁵⁶ Conversely, in *Tavener Rutledge* there was nothing to suggest that consumers would associate Kojakpops lollipops with the producers of the TV show that brought the Kojak character to life, with a mere licence from producers without any underlying market exploitation falling short of the requirement.⁵⁷ And variations of this question were also present in cases on distinctiveness of trade marks associated

with merchandising.⁵⁸ Thus the question of trade mark use in the UK was essentially one of market realities.⁵⁹ It called for a fairly contextual endeavour to determine how consumers perceived the sign in the marketplace, as though they would ascribe the origin that the claimant asserted it to have. Laddie J's first judgment in *Arsenal* is a fair illustration of this trade mark use exercise.⁶⁰ Examination of the UK approach to trade mark use further suggests a form of inquiry into consumer understanding and market practices that the CJEU happened to assimilate under the functions theory rather than trade mark use rubric.⁶¹

Put differently, use as a trade mark under European law seemingly embraces the notion that has been developed in US trade mark law over its British counterpart. It underscores a categorisation process conducted at the abstract level, as opposed to a finding inferred from market-related evidence. Through this abstract process, courts establish a priori that some pre-determined categories of use of a sign are non-infringing. Some US examples include the use of the vanity phone number 1-800-637-2333 which could be translated to 1-800-MERCEDES,⁶² and pop-up internet advertisements triggered when a user typed in a specific domain name,⁶³ both having in common the lack of affixation or use of the claimant's trade mark in products or advertising⁶⁴; both also suggesting a parallel with *Holterhoff* in Europe, where "there [was] no reference on the delivery note or the sales invoice to the trademarks SPIRIT SUN and CONTEXT CUT".⁶⁵

But where *Holterhoff* faintly hinted at a more abstract doctrine of immunisation based on the notion of trade mark use (or rather, on how the mark *was not* being used),⁶⁶ the CJEU fully embraced it in *Google France* in order to insulate search engines from liability for selling keywords to economic operators other **I.P.Q. 238* than brand owners.⁶⁷ There, the European Court limited infringement claims to advertisers purchasing or bidding for keywords. Google, the search engine provider making such keywords available for advertising, would not be engaging in trade mark use.⁶⁸ This finding was irrespective of any actual evidence or inference on the possible harm to the trade mark functions under *art.5(1)(a) TMD*. It was pure legal formalist reasoning; the European Court dismissed infringement by holding there was no use of the mark.

Google France is the hallmark of trade mark use operating as a doctrine of immunisation in European trade mark law. It can be argued that the CJEU's finding that, in offering the Adwords service, Google (and by extension, other search engines fitting same conditions) does not use a trade mark is normative. It seems counter-intuitive that coined or fanciful marks, that is, signs having no primary meaning but the origin of the products, are not being used by search engines making a profit out of their sale for third-party advertising. Other jurisdictions have found Google to be engaged in trade mark use by the same keyword sales activity.⁶⁹ But at the time the CJEU reached its decision, there were relevant policy considerations at play. The Advocate General's Opinion had shown particular concern with potential effects that a trade mark use finding could bring about; subjecting Google to trade mark liability over their Adwords activity could risk the functioning of the search engine in future, namely:

"My reason for calling the attention of the court to this issue is to highlight all the possible consequences of the present cases. If the court holds that the display by Google of sites in response to certain keywords constitutes a trade mark infringement, it may be difficult to distinguish between the situation involving AdWords and the situation involving Google's search engine." ⁷⁰

This was a strongly worded Opinion, suggesting that an absolute right of control would allow trade mark owners to interfere with the manner how information is structured and accessed on the internet. ⁷¹ It could also risk that

"such an absolute right of control would cover, de facto, whatever could be shown and said in the cyberspace with respect to the good or service associated with the trade mark". ⁷²

And there was some reason in it. In the wake of *L'Oréal v Bellure*, ⁷³ Google would emerge as a likely candidate for an unfair advantage claim. It was a service provider selling third-party trade marks as keywords, and making a profit on such an activity. These concerns resonated with trade mark use proponents in the US, in particular that

"extension of trade mark law to search engines, directories, and other parties that use marks as classification tools poses a grave threat to speech and to the dissemination of truthful information". ⁷⁴

As a result, the CJEU's non-trade mark use decision in *Google France* is an abstract finding that now applies to every service provider engaging in the same activity of selling keywords throughout the Community; infringement is automatically dismissed without any need of undertaking an assessment under the functions theory. Subsequently, *L'Oréal v eBay* would establish that the operator of an online marketplace is not liable for third-party use of trade marks in its platform: namely, that "it does not itself use those signs within the meaning of that EU legislation". **I.P.Q.* 239 ⁷⁵

Conversely, *Adam Opel* suggests another approach where the functions theory operates through a methodology resorting to market realities. Instead of working rules of thumb, a finding of harm to the origin function derives from a contextual assessment that is standard-based, thus requiring some level of factual inquiry conducted at an ad hoc basis. Infringement is determined ex post rather than ex ante. ⁷⁶ Again, the finding that the origin function had not been affected in *Adam Opel* was inferred from market-related evidence produced in national court proceedings. The German Association of the Toy Industry had joined the infringement claim in favour of the defendant, ⁷⁷ and survey evidence established that only a small proportion of the public interviewed regarded the sign reproduced in the model cars as a linking factor to the car manufacturer being responsible for such model cars. ⁷⁸ Indeed, the evidence indicated that consumers relied on matter other than Opel's mark—like the defendant's marks "Cartronic" and

"Autec" used on product packaging and instruction manuals—when making purchase decisions.⁷⁹ Following CJEU guidance, the assessment conducted by the national court then incorporated the context of the market for model cars through the perceived views of the average consumer. Here the evidence established that, in this particular sector, consumers were accustomed to the reproduction of the mark of the original car in toys. Specifically,

"the notions with regard to origin held by the customers are tied up to the use of the relevant trade marks for motor vehicles rather than for toys".⁸⁰

As a result, the same mark, while denoting the original car manufactured by Opel, did not perform an origin function *for toys*. Infringement was therefore dismissed after an assessment was conducted under the functions theory, which had no bearing in the question of trade mark use.

The CJEU later attempted to draw this distinction between the trade mark use doctrine and the functions theory in *L'Oréal v Bellure*, as follows:

60 "It is apparent from the case-law cited in paragraph 58 of this judgment that the proprietor of the mark cannot oppose the use of a sign identical with the mark on the basis of [Article 5\(1\)\(a\) of Directive 89/104](#) if that use is not liable to cause detriment to any of the functions of that mark (see also *Arsenal Football Club*, paragraph 54, and *Adam Opel*, paragraph 22).

61 Thus, the Court has already held that certain uses for purely descriptive purposes are excluded from the scope of application of [art.5\(1\) of Directive 89/104](#), because they do not affect any of the interests which that provision is intended to protect and accordingly do not constitute "use" within the meaning of that provision (see, to that effect, *Hölterhoff (C-2/00) [2002] E.C.R. I-4187* at [16]).

62 It must, however, be made clear that the situation described in the main proceedings is fundamentally different from that which gave rise to the judgment in *Hölterhoff*, in that the word marks belonging to L'Oréal and Others are used in the comparison lists distributed by Malaika and Starion not for purely descriptive purposes, but for the purpose of advertising.

63 It is for the referring court to determine whether, in a situation such as that which arises in the main proceedings, the use which is made of the marks belonging to L'Oréal and Others is liable to affect one of the functions of those marks, such as, in particular, their functions of communication, investment or advertising. **I.P.Q. 240* " ⁸¹

The doctrinal segregation (and coexistence) between trade mark use and trade mark functions that I propose finds some support in the language used in the judgment. At [60], the European Court, referencing *Arsenal* and *Adam Opel*, employs "harm to the functions" language in determining whether the trade mark proprietor is entitled to oppose the use of an identical sign. In the following paragraph, however, it shifts to different language to define purely descriptive (or perhaps, spoken)⁸² use under *Holterhoff*. Instead of referring to the right of the trade mark owner to oppose use upon showing harm to functions, it becomes an issue of scope of application of [art.5\(1\)](#) and "use within the meaning of that provision". Put differently, it is one thing to fall within

the scope of [art.5\(1\)](#); another is to find infringement under the same provision. Use as a trade mark is a threshold question performing a gatekeeper function similar to what US scholarship has proposed. To say that there is no trade mark use means only that analysis under [art.5\(1\)](#) is not triggered. Where such use has been established, a finding for infringement will still require that the use complained of is liable to harm any of the functions. In her commentary on *L'Oréal v Bellure*, Annette Kur seems to follow a similar line of reasoning by claiming:

"While the CJEU did declare that the use made of the protected marks in the comparative chart juxtaposing precious perfume brands and cheap smell-alikes was not 'purely descriptive' and was therefore captured by trade mark law, this only meant that the advertisement lay within the ambit of [Art. 5 \(1\)\(a\) TMD](#) and could thus not be discarded as per se irrelevant. The decisive question of whether the advertisement had a negative effect on the advertisement function was left to the national court to decide, and – in particular after Google/Vuitton, which was published two months before the UK decision in *L'Oréal* was rendered – it could validly have been denied." ⁸³

Thus, leaving the unfair advantage discussion aside, ⁸⁴ the results in *L'Oréal v Bellure* might have been different had the Court of Appeal carried out the infringement assessment under the functions theory. However, the court assumed that only purely descriptive use would save infringement (in a *Holterhoff*-like situation) and, conflating both trade mark use and functions, cut short the analysis. ⁸⁵ (Admittedly, the CJEU adopting trade mark use terminology, which had its own meaning in the UK, to refer to a wholly different EU-wide concept made it difficult, if not impossible, for anyone to work such a distinction at the time.)

But this doctrinal distinction became clearer when the CJEU later revisited trade mark use in *Winters v Red Bull*. ⁸⁶ The claimant, the manufacturer of the Red Bull energy drink, brought a trade mark infringement claim against a filling plant in the Netherlands. Winters, the defendant, had been hired by another company, Smart Drinks, simply to fill cans of drinks labelled "Bullfighter", "Pitbull", "Red Horn" and "Live Wire". The defendant would receive empty cans with matching lids and the extract of the fizzy drink to fill them with. Those cans already bore various signs and decorations; the defendant needed only follow the directions and recipes of Smart Drinks to manufacture the drinks. Smart Drinks would then collect the filled cans and export them to other countries in the Community. ⁸⁷ The claimant, arguing that the *Red Bull* mark had been infringed, sought an injunction restraining the defendant from producing such drinks upon the instructions of Smart Drinks. During infringement proceedings, the defendant contended that filling drinks with packaging which already bore a sign constituted a typical service provided to and on the instructions of a third party, which, therefore, would not amount to trade mark use. ⁸⁸ However, taking the view that **I.P.Q. 241* by combining the drink with the packaging the defendant had used the sign in the course of trade, the lower court granted the injunction. ⁸⁹ The Court of Appeal in the Netherlands then referred a question phrased as one of trade mark use to the CJEU, asking whether "the mere 'filling' of packaging which bears a sign" would amount to use of a sign within

[art.5 TMD](#),⁹⁰ which could be reframed as inquiring whether such an activity would be legally relevant to trade mark law.

Interestingly, the Advocate General's Opinion suggests that there were a set of policy concerns underlying the consideration of trade mark use in this case. A.G. Kokkot contended that there should not be such use. The defendant had limited itself to filling the contents of drinks the packaging of which had been provided by a third party; affixation of the mark did not take place in the filling plant, neither had the defendant used it in advertising or commercial communication.⁹¹ Rather, the defendant had no commercial interest in the product, but only in fulfilling the orders of a third party. A trade mark use finding would therefore place a heavy burden on those engaging in same or similar business activities, namely:

"Moreover, such an exception would expose service providers such as Winters to disproportionate risks. This would affect not only drinks filling plants but all undertakings which package goods or produce packaging on the instructions of another. It is practically impossible for them to ensure that the signs chosen by the client do not infringe marks belonging to another."⁹²

One could argue that the Advocate General's Opinion is at odds with the traditional approach to trade mark infringement, which is one of strict liability. Normally it would be assumed that, were such businesses found infringing, they could seek redress from the company placing orders. This would not be markedly different from the strict liability standard imposed on retailers for stocking, selling or even importing infringing goods.⁹³ Conversely, the European Commission took the view that immunisation from trade mark liability "would invite abuse as undertakings seeking to infringe the marks of others will commission third parties to commit acts of infringement".⁹⁴ At the end of the day, in a decision which is heavily influenced by the reasoning in *Google France*,⁹⁵ the CJEU found for non-trade mark use, as follows:

"Although it is clear from those factors that a service provider such as Winters operates in the course of trade when it fills such cans under an order from another person, it does not follow, however, therefrom that the service provider itself 'uses' those signs within the meaning of [art.5 of Directive 89/104](#) (see, by analogy, *Google France [2010] E.T.M.R. 30* at [55])."⁹⁶

Furthermore, the European Court held that the non-trade mark use finding had the effect of insulating economic operators carrying out such a practice from trade mark liability, the autonomous and uniform interpretation of *use* extending even to dilution claims covered by [art.5\(2\) TMD](#).⁹⁷ The practice would therefore fall outside the realms of European trade mark law and, as it happens with internet service providers, should be left to national law. The CJEU thus seemed to have strangely insulated filling plants, which were considered intermediaries, from trade mark liability while emphasising the liability of customers, that is, distributors, retailers and other vendors of the infringing product.⁹⁸ Given that the obligation that a strict liability standard imposes on such customers is not wholly different from that that would be incumbent on a filling plant (i.e. to check whether the product is infringing or otherwise assume the risk **I.P.Q. 242* of the order), it strongly suggests that application of the trade mark use doctrine had again a normative

character. As in *Google France*, the European Court chose trade mark use over functions, and thus immunised a given practice from trade mark liability throughout the Community. As such, the question of whether filling plants carrying out orders placed by a third party would infringe trade mark rights is no longer open for national courts to consider.

The timing of the *Red Bull* decision, handed down after *L'Oréal v Bellure*, gives support to my proposition that the legal concepts of trade mark use and trade mark functions are wholly separate. Here, the non-trade mark use finding does not derive from an infringement-like assessment gauged by consumer perceptions, as we have seen in the UK trade mark use decisions examined earlier.⁹⁹ It does not consider whether the marks were similar or the impact they might have had on the average consumer; neither does the European Court adopt functions language found in infringement cases such as *Adam Opel* and *L'Oréal v Bellure*. Indeed, the trade mark use approach in *Winters v Red Bull* unveils a normative, abstract determination of the scope of trade mark law rather than a contextual, case-specific assessment of infringement. The former UK notion of trade mark use is thus methodologically closer to the functions theory operating through a contextual assessment. And while we have been focusing our analysis on such exceptional cases of immunisation, the CJEU jurisprudence otherwise favours an expansive reading of the trade mark use requirement that has been acknowledged in the literature.¹⁰⁰ More infringement fact-patterns are allowed through the gateway, with *Google France* and *Winters v Red Bull* being the rare exceptions. It is an expansion of trade mark law that, however, should be read together with the functions theory now straddling infringement assessment, which is making determination of confusion increasingly contextual. A EU-wide abstract trade mark use finding does not entail infringement, but rather leaves the question of harm to the origin function for national courts to consider (thus allowing variation between Member States based on differing consumer perceptions or established market practices).

One possible explanation for the functions theory prevailing in the European framework can be ascribed to its standard-based nature being more consistent with the CJEU jurisprudence on freedom of goods. Rather, it has the potential of promoting single market integration without stripping Member States from their regulatory autonomy. The main twist of the functions theory is that, while the non-infringement finding in *Adam Opel* applied to Germany, it need not be the same in other countries.¹⁰¹ A trade mark use approach would suggest a blanket rule of immunisation, that is, use of the sign fitting the same conditions would be non-infringing in all territories throughout the Community. While a functional approach is arguably less determinate,¹⁰² it has the merit of allowing for a consideration of cultural differences and language barriers in Member States. It is therefore consistent with the single market integration rationale in freedom of goods cases accounting for the same factors.¹⁰³ In *Fratelli Graffione*, for example, the European Court held that:

22 "The possibility of allowing a prohibition of marketing on account of the misleading nature of a trade mark is not, in principle, precluded by the fact that the same trade mark is not considered to be misleading in other Member States. As the Advocate General has observed in paragraph 10 of his Opinion, it is possible that because of linguistic, cultural and

social differences between the Member States a trade mark which is not liable to mislead a consumer in one Member State may be liable to do so in another. **I.P.Q. 243*

23 However, as pointed out in paragraph [17] of this judgment, in order to be justified, the measure adopted to protect consumers must really be necessary for that purpose and proportionate to the objective pursued, which must not be capable of being achieved by measures which are less restrictive of intra-Community trade." ¹⁰⁴

This rationale of allowing cultural and linguistic differences was explicitly incorporated in trade mark law at a later moment in *DHL* ¹⁰⁵ and, more recently, *Combit* ¹⁰⁶ and *Ornua* ¹⁰⁷ to address territorial scope of rights of a EUTM under the functions theory. Such derogations from the unitary principle, as Graeme Dinwoodie would call them, ¹⁰⁸ are arguably part of a broader CJEU movement of infusing infringement analysis with contextual matter—notably consumer perceptions and market practices—that is foreign to more conventional views of a paper-based assessment methodology.

Conversely, the CJEU jurisprudence shows a trend towards a more expansive as opposed to restrictive reading of *use* within art.5 TMD. Trade mark use doctrine seems to be now reserved to exceptional cases like *Google France* ¹⁰⁹ and *Winters v Red Bull*, ¹¹⁰ where policy considerations are thought to be strong enough to justify plain immunisation of economic operators from trade mark liability throughout the Community. It assumes the role of a normative rule-based device. But it is also a rather aggressive instrument of EU-wide negative law-making that runs the risk of depriving trade mark law of much of its purpose. Trade mark law may have to account for concerns other than economic efficiency, ¹¹¹ which in Europe means reconciling single market integration with cultural and language differences in Member States; incentives to investment and protection of goodwill are other rationales known to operate in European trade mark law, of which dilution causes of action are a good example. ¹¹² A more contextual approach by operating the functions theory in cases such as *Adam Opel* seems more suitable to further (and hopefully, reconcile) such policy concerns.

Recently, the CJEU rephrased the double identity standard in the internet keywords context to accommodate other normative considerations that have been defined as a duty of transparency common to consumer law. ¹¹³ But recourse to market practices and consumer understanding under the functions theory remains a viable defence for double identity infringement. In *Viking Gas*, determination of whether the refilling of branded gas bottles by third parties infringed should "take into account the practices in that sector and, in particular, whether consumers are accustomed to the gas bottles being filled by other dealers". ¹¹⁴ And UK courts have dismissed infringement by having resort to a more reality-based assessment under the functions theory. In *Supreme Petfoods*, the competing products coexisting for over 20 years without relevant confusion in the marketplace would establish that the defendant's use of the sign had no adverse effect on the origin function of the registered mark. **I.P.Q. 244* ¹¹⁵

I argue that this theoretical distinction between trade mark use and the functions theory can explain much of the doctrinal development that ensued. Recourse to context, notably consumer perceptions and market practices, has emerged as a resource to reconcile common concerns of single market integration with national regulatory autonomy. The distinguishing feature of the functions theory is that it calls for a contextual assessment. The operation of functions without recourse to context of market practices and consumer understanding would be no different from mere application of the trade mark use doctrine. This also poses the question of to what extent the functions theory the CJEU has developed conceals a proportionality test where the act has to be justified and market realities brought into a more contextual assessment allow for transparent trade-offs. *O2 Holdings* is yet another example of how context can be brought to internalise other policy concerns conflicting with trade mark law.¹¹⁶ Again, the European Court chose to address the issue by operating the functions theory through a contextual assessment.

O2 Holdings —context is brought to likelihood of confusion under the functions theory

A little more than a year after *Adam Opel*, the issue of the circumstances underlying the use of an allegedly infringing sign potentially changing the outcome resurfaced in *O2 Holdings*,¹¹⁷ this time rephrased as a question of context under the global assessment of likelihood of confusion in infringement. Here a parallel can be drawn with the CJEU's prior experience of infusing infringement assessment with external matter. While *Adam Opel* underscored the context of established market practices and consumer perceptions of a sign taken as a feature of a product rather than indicating origin, *O2 Holdings* called for the consideration of context within comparative advertising. Like *Adam Opel*, it also posed a normative concern that Jacob LJ framed as "how aggressively does EU law permit comparative advertising to go".¹¹⁸

O2 brought a trade mark infringement claim against Hutchison for releasing a comparative advertising campaign which had made use of bubble imagery commonly associated with the O2 brand on the mobile phone market.¹¹⁹ On the facts, Hutchison's advertisement did not convey misleading information and, furthermore, the average member of the public would perceive the sign as identifying the O2 brand.¹²⁰ This should be enough for avoiding infringement insofar as there was no likely confusion as to the origin: the sign used in the comparative advertisement, although consisting of a visual imitation by a competitor of a series of "bubble" marks, made reference to the actual origin of the services.¹²¹ Indeed, consumers seeing the sign would think of the O2 brand rather than Hutchinson's.

In the course of the infringement proceedings, however, O2 proposed that, following a paper-based methodology, the assessment should be limited to a "straight comparison between the sign complained of and the registered mark".¹²² The analysis should therefore exclude the so-called external matter composing the advertisement and neglect the circumstance that the sign had been used for comparing competing products.¹²³ But the adoption of a more abstract test mirroring the

assessment of likelihood of confusion conducted at the registration level, as used to be the practice in the UK,¹²⁴ would favour a finding for infringement. Both mark and sign were actually similar. It was Hutchison's intention all along to refer to O2 products as a benchmark for comparison, which is the *raison d'être* of comparative advertising. The **I.P.Q. 245* alternative, which would prevail in the end, was to infuse the infringement assessment with context characterising the use of the sign. Specifically, the comparison would not be limited to confronting both the sign and the registered mark in isolation. It should be considered, as context, that such a sign was being used in a comparative advertising piece including, *inter alia*, the accompanying voice-over, the soundtrack, and the text displayed over the video. The CJEU framed this methodological conundrum as follows:

"[W]hether consideration should be limited exclusively to a comparison between the trade mark and the disputed sign and between the goods or services for which the mark is registered and those for which the sign is used, or whether, on the other hand, it is appropriate to take account of the factual context in which the sign is used."¹²⁵

By following an abstract assessment focusing upon the mark and sign to be compared in isolation, determination of confusion is reduced to a question of whether consumers are likely to think that the bubbles used by Hutchinson belonged to O2 or not. It fails to consider whether the use of a visually similar sign, in the context of the advertisement, would lead consumers to believe that O2 products were from Hutchinson or that there was an economic link between the companies.¹²⁶

As such, *O2 Holdings* suggests a parallel between the comparison standard that now informs likelihood of confusion¹²⁷ and the rationale of incorporating context to infringement assessment as a relief valve that the CJEU had adopted under double identity.¹²⁸ Context was once again brought to the assessment to address the question of infringement under the functions theory: that is, whether the origin function has been harmed. Indeed, the CJEU rejected a trade mark use approach and, contrary to what Jacob LJ and AG Mengozzi had proposed,¹²⁹ chose not to immunise comparative advertising from liability. It further indicates that determination of confusion in infringement is also tethered to source identification judgment through the perceptions of the average consumer. In attempting to reconcile the provisions of *TMD art.5(1)* and *MCAD art.3(a)(1)*, the CJEU equated the notions of confusion in trade mark law and unfair commercial practices law.¹³⁰ This seemingly converged on a concept of misleading¹³¹ that is nonetheless consistent with the materiality requirement that the court had introduced in *Adam Opel* under the origin function.¹³²

Hence, the application of the functions theory suggests that confusion should be material to the decision-making process of the consumer. And to reach this conclusion, an assessment infused with contextual matter, more grounded on market realities, is needed. Thus, as in *Adam Opel*,¹³³ an abstract analysis focusing on the comparison of marks alone sounds unsuitable. An argument can be made that the approach of insulating a sign for conducting a paper-based comparison (that

is, mark for mark) takes a wrong turn by limiting the assessment to a question of recognition of the sign by consumers. Rather, the dissection of the sign seems to address a question of likelihood of association in strict sense that the CJEU had ruled out as actionable infringement in *Sabel*.¹³⁴ Where the sign is devoid of context and taken in isolation, a finding of confusion with the registered mark means only that **I.P.Q. 246*

"the public considers the sign to be similar to the mark and perception of the sign calls to mind the memory of the mark, although the two are not confused".¹³⁵

It does not explain whether consumers were likely to confuse the source of the products, that is, if they were to take one product for another or think that Hutchinson had an economic link with O2 because of the advertising piece in question. This is methodologically (and materially) different from Hutchinson attempting to register such a sign as a trade mark, which would be a matter of granting a right of exclusivity rather than accepting use. Since there is a difference between securing exclusive rights via registration and allowing use of a sign in the marketplace, where different rationales may be at work, there are good reasons for drawing such a methodological distinction. Normatively, implications of each kind of assessment are clearly contrastable: registration analysis centres on the granting of an exclusive right which can be opposed against third parties, whereas infringement deals with the use of a sign in a particular situation.¹³⁶

It follows that CJEU's guidance in *O2 Holdings*, in determining that context should be factored in the assessment, was already changing the standard of comparison in infringement. For the first time, the European Court expressly signalled a departure from the analysis under relative grounds for refusal, namely:

"Article 4(1)(b) of Directive 89/104, however, concerns the application for registration of a mark. Once a mark has been registered its proprietor has the right to use it as he sees fit so that, for the purposes of assessing whether the application for registration falls within the ground for refusal laid down in that provision, it is necessary to ascertain whether there is a likelihood of confusion with the opponent's earlier mark in all the circumstances in which the mark applied for might be used if it were to be registered.

By contrast, in the case provided for in Art.5(1)(b) of Directive 89/104, the third-party user of a sign identical with, or similar to, a registered mark does not assert any trade mark rights over that sign but is using it on an ad hoc basis. In those circumstances, in order to assess whether the proprietor of the registered mark is entitled to oppose that specific use, the assessment must be limited to the circumstances characterising that use, without there being any need to investigate whether another use of the same sign in different circumstances would also be likely to give rise to a likelihood of confusion."¹³⁷

As a result, determination of confusion in infringement (or, rather, harm to the origin function)¹³⁸ is now tethered to the specific context in which the sign was actually used by the defendant.¹³⁹ And, as we have seen, assimilation of context requires consideration of consumer understanding and market practices,¹⁴⁰ and external matter affecting how the sign is perceived in the marketplace.¹⁴¹ Hence a reading of *O2 Holdings* in the light of the rationale established in *Adam Opel* suggests a change in the nature of the comparison in infringement that is more material to trade mark law than initially anticipated. This process of assimilating context into infringement seems to be part of a larger movement of the CJEU in placing the average consumer as the centrepiece of trade mark law.¹⁴² The functions theory requires some regard **I.P.Q. 247* for market realities in that such a consumer should be (to some or to a large extent) constructed upon the perceptions of actual consumers rather than reduced to a purely notional, hypothetical person.

Recent UK decisions appear to embrace this contextual iteration of the functions theory in interesting ways. In *IPC Media*, the likelihood of confusion between Ideal Home and the Ideal Home Show was dismissed on the basis that following the marks living side by side for decades, in a honest concurrent use situation, there was no harm to the origin function.¹⁴³ At first instance, Baldwin QC (sitting as a deputy judge) had found that

"the words Ideal Home when used as a trade mark in the home interest category may convey a different meaning depending on whether the context is a magazine or an exhibition/show".¹⁴⁴

While there have been laudable efforts to frame honest concurrent use as a stand-alone defence doctrine,¹⁴⁵ perhaps with excessive emphasis on a test for honesty, a simpler, more coherent explanation can be found in the overarching concept of trade mark functions as a theory of harm. Another recent development is *BMW v Technosport*,¹⁴⁶ a case dealing with the use of *BMW* marks to designate third-party repair and maintenance services. In drawing a distinction between informative use and misleading use of a registered mark, Floyd LJ held that the nature of the message conveyed to consumers "depends on a close consideration of the detail and context of the use".¹⁴⁷ These are but two examples of infringement assessment being infused with market realities so that likelihood of confusion is no longer reduced to a comparison of mark and sign stripped from context. Furthermore, they both indicate that an infringement finding would require something more than abstract confusing similarity that the registrar would look for in examining relative grounds of refusal. Rather, likelihood of confusion is tethered to some notion of materiality than can be ascribed to the origin function being harmed.

Arsenal revisited—the autonomous and uniform concept of trade mark use

Once the doctrinal and methodological distinction between trade mark use and functions is established, I contend that *Arsenal* can be given a more coherent reading within this European law framework.

*Arsenal*¹⁴⁸ is a typical merchandising case which became known for articulating the trade mark functions theory, where the CJEU hinted at the notion of harm to the essential function as the litmus test for infringement. While this is a story which has been fully recounted in the literature,¹⁴⁹ I would propose a different reading. Instead of focusing on the functions language that the CJEU articulated on the occasion, I argue that the contribution of *Arsenal* now lies elsewhere. As the functions theory was further developed in cases such as *Adam Opel*, and as confusion-based infringement (i.e. harm to the origin function) departed from the more abstract logic of the registrar to assimilate contextual matter, *Arsenal* should be understood as a trade mark use case, but in the US trade mark use sense.¹⁵⁰ It is not all that important for articulating the functions theory, the origin of which can be traced back to earlier repackaging cases,¹⁵¹ but for establishing that *use* in art.5(1) TMD is an autonomous and uniform concept of European law. *I.P.Q. 248

Specifically, *Arsenal* conceals the normative question that came to be resolved in *Adam Opel* under the functions theory¹⁵²: a question that Graeme Dinwoodie and Mark Janis, in their critique of the expansionist vision of trade mark use as a limiting doctrine, framed as follows:

"The modern view of trademarks as more than mere indications of source clearly reflects how consumers actually use marks in a brand-conscious society, and thus, scholarly and judicial disagreement centers on the normative question: should trademark law protect signals of affiliation and endorsement? Should trademark law protect the full panoply of human reactions and consumer meaning induced by brands?"¹⁵³

We have seen that in *Adam Opel* context was brought into the assessment through the origin function to deal with a potential threat that the expansion of trade mark law had created. This expansion movement was made possible because of the notion of *use* as a European-wide concept. In holding that the term "use" in art.5(1) should be afforded uniform interpretation, the CJEU carried out a harmonisation effort ensuring that possible differences in the *potential application* of trade mark law among Member States were disavowed.¹⁵⁴ This is fundamentally a question of how far trade mark law is able to reach, not infringement.

Arsenal, the English football club, brought an infringement claim against Matthew Reed, an unofficial retailer who used to sell both licensed and unlicensed Arsenal merchandise. In the course of proceedings, the defendant argued that the Arsenal signs being reproduced on the unlicensed merchandise were a badge of allegiance or support, so there would be no trade mark use. Consumers would purchase the products to pay tribute or show support to the club, not because they believed that the merchandise came from the club or had been endorsed by it. Based on the evidence produced in connection with the passing-off claim, Laddie J had found there was no such trade mark use.¹⁵⁵ But that did not conclude the discussion. Arsenal further argued that because s.10 of the Trade Marks Act 1994, mirroring the art.5(1) TMD provision in force at the time, referred to a *sign* (as opposed to a *trade mark*), protection under double identity would not depend on the sign complained of being used "as a trade mark". The Trade Marks Act 1938, which had been

repealed, expressly referred to "use as a trade mark" in [s.4\(1\)](#), a provision having no counterpart in the [1994 Act](#). Laddie J conceded that such a difference in language could yield different results:

"However, there is difficulty created by the form of drafting adopted both by the Directive and our Act. In particular, [section 10](#) defines infringement in terms of the use of a 'sign' by the defendant, not the use of a 'trade mark'." ¹⁵⁶

Discussion then centred on whether [art.5\(1\)](#) was limited to so-called trade mark use, in the traditional UK sense, or whether other non-trade mark uses should be caught by the provision. ¹⁵⁷ Or, to put it another way,

"for AFC to succeed on trade mark infringement, it has to rely on the non-trade mark use of those signs, that is to say the wide construction of [section 10](#)". **I.P.Q.* 249 ¹⁵⁸

In *British Sugar*, Jacob J (as he then was) had given such a broad reading in that descriptive use of the sign *Treat* would not evade infringement assessment under the guise of non-trade mark use. ¹⁵⁹ Laddie J, believing it to be a controversial issue in European law, sought guidance from the Court of Justice.

To the bewilderment of many, including Laddie J himself, ¹⁶⁰ the CJEU answered something else entirely. First, contrary to what the referring court had assumed, ¹⁶¹ the reproduction of the Arsenal sign in unlicensed merchandise amounted to trade mark use, it being "immaterial that, in the context of that use, the sign is perceived as a badge of support for, loyalty or affiliation to the trade mark proprietor". ¹⁶² Secondly, the European Court, launching *Arsenal* to stardom, held that:

"It follows that the exclusive right under [Art.5\(1\)\(a\) of the Directive](#) was conferred in order to enable the trade mark proprietor to protect his specific interests as proprietor, that is, to ensure that the trade mark can fulfil its functions. The exercise of that right must therefore be reserved to cases in which a third party's use of the sign affects or is liable to affect the functions of the trade mark, in particular its essential function of guaranteeing to consumers the origin of the goods." ¹⁶³

While the full extent of this judgment remains controversial, *Arsenal* should be re-examined in the light of the methodological distinction between the trade mark use doctrine, as a rule-like doctrinal device, and the functions theory operating through a contextual assessment which I have proposed. The CJEU's holding that there had been trade mark use should mean only that the practice carried out by the defendant, that is, sales of unofficial merchandise, was not insulated from trade mark liability per se. While the CJEU indicated that trade mark use was the wrong question to be asked in the *Arsenal* case, ¹⁶⁴ to which the Court of Appeal conceded, ¹⁶⁵ it has never held that trade mark functions and use were mutually exclusive. Rather, the European Court would later indicate in *L'Oréal v Bellure* that both coexist and serve different purposes under European trade mark law. ¹⁶⁶

There are good reasons to believe that the CJEU's finding of trade mark use in *Arsenal* was essentially normative, and therefore was not primarily concerned with consumer perceptions of a particular sign. Instead, the judgment in *Arsenal* seems to have placed more weight on the *practice* of merchandising, that is, the affixation of a sign on such goods intended for sale.¹⁶⁷ The impact that such a decision otherwise could have brought about on merchandising activities and, in particular, on the business model and financing of football clubs in Europe should not be underplayed. Indeed, A.G. Mengozzi's account of "football as an economic phenomenon" may have been decisive.¹⁶⁸ And protection of sports merchandise under trade mark law has been widely recognised in other jurisdictions. In *Boston Hockey*, a case involving sales of embroidered emblems reproducing the symbols of several teams from the National Hockey League (NHL) in the US, the Court of Appeals for the Fifth Circuit held that:

"The conclusion is inescapable that, without plaintiffs' marks, defendant would not have a market for his particular product among ice hockey fans desiring to purchase emblems embroidered with *I.P.Q. 250 the symbols of their favorite teams. It becomes clear that defendant's use of plaintiffs' marks is in connection with the sale, offering for sale, distribution, or advertising of goods"¹⁶⁹

Now, should the term "use" be afforded uniform interpretation throughout the Community,¹⁷⁰ a finding for non-trade mark use could put merchandising activities at peril. Thus a decision that there had been such use, that is, that merchandising was a matter of concern to trade mark law, is hardly unprecedented, let alone surprising. And I contend that while the merchandising practice of *Arsenal* is subject to trade mark liability, infringement would still depend upon showing harm to the functions. In *Adam Opel*,¹⁷¹ double identity infringement was dismissed because the practice carried out by the defendant, while amounting to trade mark use, was not liable to adversely affect the functions of the trade mark.¹⁷² Consumers would not attach the origin significance that the claimant asserted the registered trade mark to have (i.e. the Blitz sign *for toys*, not cars). Thus we could only speculate that the difference in *Arsenal*, another merchandising case, would be one of consumer understanding or even timing; harm to the functions was never considered because it was not a question existing in trade mark infringement until the CJEU gave its judgment. According to the Court of Appeal at the time,

"the judge did not come to any conclusion as to whether Mr Reed's use was liable to affect or jeopardise the guarantee of origin which was the essential feature of Arsenal's trade mark rights. No doubt this was not argued as an issue and because of that he did not consider it to be relevant".¹⁷³

Furthermore, this notion of harm to functions as a case-specific approach to infringement that emerged in *Arsenal* was not entirely novel. The language of the "essential function" of the trade mark had been used before to define the so-called specific subject-matter of the right in exhaustion cases. In *Bristol-Meyers Squibb*, for example, the CJEU held that:

47 "In answering the question whether a trade mark owner's exclusive rights include the power to oppose the use of the trade mark by a third party after the product has been repackaged, account must be taken of the essential function of the trade mark, which is to guarantee to the consumer or end user the identity of the trade-marked product's origin by enabling him to distinguish it without any risk of confusion from products of different origin ...

48 Therefore, the right conferred upon the trade mark owner to oppose any use of the trade mark which is liable to impair the guarantee of origin so understood forms part of the specific subject-matter of the trade mark right, the protection of which may justify derogation from the fundamental principle of the free movement of goods (*Hoffmann-la Roche; Pfizer*)."¹⁷⁴

There, the notion of essential function was used to determine whether enforcement of trade mark rights against parallel importers repackaging medicaments would amount to a disguised restriction on trade between Member States (therefore in breach of freedom of goods). While often reduced to a trade mark exhaustion issue, repackaging or relabelling practices entailed the reproduction of the mark by the parallel importer.¹⁷⁵ At the time, affixation of the mark was treated as ancillary to the intra-Community marketing of the products; however, given the broad CJEU reading of use of a trade mark to identify the correct source of the product,¹⁷⁶ these could also be defined as double identity cases. And consideration of such **I.P.Q. 251* cases further suggests that determination of infringement was a fairly contextual exercise gauging consumer perceptions of the packaging. Indeed, different instances of repackaging, relabelling, cobranding, rebranding and de-branding of products called for separate assessments.¹⁷⁷ It is not particularly surprising that the European Court chose to adopt familiar language when it suggested that *Arsenal* was a (more contextual) question of harm to the functions rather than the ubiquitous trade mark use. And perhaps much of the confusion that ensued can be ascribed to the CJEU appropriating trade mark use terminology, which had its own significance in European jurisdictions such as the UK,¹⁷⁸ to give it entirely new meaning.

The CJEU approach suggests a more complex understanding of uses that can be made of a trade mark, and that, contrary to what commentators have argued at the time (without the benefit of hindsight),¹⁷⁹ consumer perceptions are not relevant to that inquiry—something which later became apparent in *Google France*.¹⁸⁰ In holding that motivation factors for purchase (such as an urge to support a team) are immaterial to trade mark use, the European Court also appears to reject a single meaning rule in trade mark law, because accepting that use of a sign as such would trigger non-trade mark use corresponds to notionally assuming that consumers would perceive (and react to) it in the same way. As such, infringement would be reduced to a binary question having Community-wide effects, a blanket rule with no room for exception, while the CJEU jurisprudence seems to be moving the other direction.¹⁸¹

Putting functions together

We have seen in this article that the CJEU has attempted to balance a broader reading of trade mark use, expanding potential liability to practices such as merchandising and comparative advertising, with an increasingly contextual infringement assessment under the functions theory. My analysis suggests that the functions theory should be seen as a doctrinal device that, together with a more realistic (or hybrid) construction of the average consumer, enabled infringement assessment to be infused with market realities, in response to the problems of abstraction that an expansionary trade mark doctrine had created. Thus a wider range of activities *potentially* infringe trade mark law today, but whether they actually do so in a given dispute is where functions become relevant. While trade mark use is construed broadly, confusion analysis (i.e. harm to the origin function) recognises additional layers of context. Comparative advertising is subject to trade mark liability; however, infringement assessment should investigate the circumstances characterising the use of the sign, and actionable confusion requires more than a finding of similarity on paper. It is not enough that bubbles used by a competitor in advertising resemble or remind the public of the leading brand; there is a need to establish that the average consumer would think that O2 products came from Hutchinson or that they were economically linked.

In this concluding part, I briefly raise two related, yet fundamentally important, issues. The first is that, once the functions theory is taken seriously as the springboard for a contextual assessment infused with market realities, a more sceptical stance on other trade mark functions is called for. Instead of too readily assuming that consumers behave in a particular way, the functions theory, working as a true theory of harm, would require a more thoughtful insight into market realities in ascertaining such harm. The second is the role that the average consumer, at the fore of European trade mark law, should play within the functions theory. The methodological change driven by context that I have proposed was made possible by the functions theory working in tandem with a more realistic or hybrid construction of the average **I.P.Q. 252* consumer. Both are inextricably entwined. A functional model operating through context presupposes some regard for market realities that is unattainable if the benchmark for infringement is framed in a purely notional, overly abstract fashion.

One could argue that the often criticised expansion of European trade mark law is twofold. It is an expansion to unconventional or perhaps less conventional uses of a trade mark, reaching for practices such as merchandising and comparative advertising. But there is another movement of the CJEU, this one more lateral, extending to other functions.¹⁸² As such functions became entitled to independent protection—that is, irrespective of harm to the origin function—trade mark law made its move into brand territory. Dev Gangjee once argued that such an expansion had made European law "the most generous trade mark regime", questioning the extent to which courts are equipped to deal with what he defined as "an elusive and protean, yet undeniably valuable tangible".¹⁸³

The contextual development of the origin function examined in this article indicates that there is some incoherence in the treatment national courts have afforded to other trade mark functions. Drawing on trends within confusion-based case law under the origin function, the functions theory

can be best understood to provide a more nuanced assessment methodology, to counteract an expansion of the scope of trade mark protection. The CJEU recognising independent protection to other functions (yet another expansion) should therefore be no different. Thus a fully functional model for infringement may not accept, at face value, that the investment function of a mark for bath bombs would be harmed because Amazon did not share Lush's values of ethical trading¹⁸⁴; or that a repair garage choosing to use the car manufacturer's mark in device (rather than word) form would automatically lead to an impairment of the advertising function.¹⁸⁵ Rather, it would require courts to first inquire whether consumers see the brand conveying a meaningful message: that is, whether the brand image reflects consumers' understanding or is just another untested assumption.

And perhaps part of the answer could lie in the hybrid construction of the average consumer broached in recent literature,¹⁸⁶ which seems ripe for assimilating more intricate processes of construction of meaning. This could mean, for example, that to fully embrace trade mark law as protecting other functions (or possibly, different dimensions of a brand) that are only tangential to a source-identification judgment, we should be ready to accept that consumers do not always buy into the meanings that trade mark owners assert their brands to have.¹⁸⁷ Rather, brand image, in its manifold dimensions, is the manifestation of a dyadic process in which consumers play an active role. Just as consumers were proven not to attach origin significance to the Blitz sign for toys, but rather the car manufacturer, we should be asking ourselves the extent to which consumers really assimilate the brand-like message that other trade mark functions purport to protect.

Luis H. Porangaba

Footnotes

- 1 *L'Oréal SA v Bellure NV* (C-487/07) EU:C:2009:378; [2009] E.T.M.R. 55. See also *L'Oréal SA v Bellure NV* [2010] EWCA Civ 535, [2010] E.T.M.R. 47 (Jacob LJ) at [30], calling functions conceptually vague and undefined; *L'Oreal SA v eBay International AG* [2009] EWHC 1094 (Ch), [2009] E.T.M.R. 53 (Arnold J) at [300], questioning the contribution of functions to infringement assessment.
- 2 For more traditional accounts of the theory, see *Lionel Bently and Brad Sherman, Intellectual Property Law, 4th edn* (Oxford: Oxford University Press, 2014), pp.1049–1054; *Annette Kur and Thomas Dreier, European Intellectual Property Law: Texts, Cases & Materials* (Cheltenham: Edward Elgar, 2013), pp.200–206. See also *L'Oréal v Bellure* EU:C:2009:378; [2009] E.T.M.R. 55, Opinion of the Advocate General at [38]–[64].
- 3 See for example Annette Kur, "Trademarks Function, Don't They? CJEU Jurisprudence and Unfair Competition Principles" (2014) 45 I.I.C. 434.

- 4 See for example Jasem Tarawneh, "A New Classification for Trade Mark Functions" [2016] I.P.Q. 352.
- 5 Contextual assessment is used in this article to refer to analysis which is *both* case-specific and reaching for matter outside the fictional realm of the register.
- 6 In Germany, see for example *Re Trade Mark Infringement by German Democratic Republic Emblems on Clothing* [2011] E.T.M.R. 14 (BGH (Germany)) at [19]; *Praline Shapes II* [2011] E.T.M.R. 29 (BGH (Germany)) at [25].
- 7 Graeme B. Dinwoodie and Dev S. Gangjee, "The Image of the Consumer in European Trade Mark Law" in D. Leczykiewicz and S. Weatherill (eds), *The Image(s) of the Consumer in EU Law* (Oxford: Hart Publishing, 2014).
- 8 *Arsenal Football Club Plc v Reed* (C-206/01) EU:C:2002:651; [2003] 1 C.M.L.R. 12.
- 9 *Adam Opel AG v Autec AG* (C-48/05) EU:C:2007:55; [2007] E.T.M.R. 33.
- 10 *Arsenal* EU:C:2002:651; [2003] 1 C.M.L.R. 12 at [42].
- 11 See text to fn.174.
- 12 See *Arsenal* EU:C:2002:651; [2003] 1 C.M.L.R. 12 at [43]–[45].
- 13 *Google France Sàrl v Louis Vuitton Malletier SA* (C-236/08) EU:C:2010:159; [2011] Bus. L.R. 1.
- 14 See for example *Bayerische Motorenwerke AG v Deenik* (C-63/97) EU:C:1999:82, [1999] 1 C.M.L.R. 1099; *Arsenal* EU:C:2002:651, [2003] 1 C.M.L.R. 12. See also Andrew Griffiths, "The Trade Mark Monopoly: An Analysis of the Core Zone of Absolute Protection under Art.5(1)(a)" [2007] I.P.Q. 312; Martin Senftleben, "Bringing EU Trademark Protection Back Into Shape – Lessons to Learn From Keyword Advertising", 6th Annual Conference of the EPIP Association: Fine-Tuning IPR Debates (Brussels, 8 September 2011).
- 15 Kur, "Trademarks Function, Don't They?" (2014) 45 I.I.C. 434, 435.
- 16 A question also reflecting Graeme Dinwoodie's distinction between proactive and reactive trade mark law-making. See Graeme B. Dinwoodie and Mark D. Janis, "Confusion over Use: Contextualism in Trademark Law" (2006) 92 Iowa L. Rev. 1597, 1604 ("A proactive view of trademark lawmaking embraces the proposition that trademark law should be used to influence the norms that govern consumers' shopping habits. In contrast, a reactive view relegates trademark law to the role of discerning and protecting extant consumer understanding.").
- 17 *Adam Opel GmbH v Autec* [2010] E.T.M.R. 50 (BGH (Germany)) at [12].
- 18 *Adam Opel* EU:C:2007:55; [2007] E.T.M.R. 33, Opinion of the Advocate General at [40].
- 19 *Adam Opel* EU:C:2007:55; [2007] E.T.M.R. 33, Opinion of the Advocate General at [41]. See also *Adam Opel* [2010] E.T.M.R. 50 (BGH) at [12].
- 20 This is arguably different from consumer understanding developing to the extent that all products bearing a mark are assumedly licensed: cf. *Hearst Holdings Inc v AVELA Inc* [2014] EWHC 439 (Ch); [2014] E.T.M.R. 34.
- 21 *Arsenal* EU:C:2002:651; [2003] 1 C.M.L.R. 12.

- 22 *Adam Opel EU:C:2007:55; [2007] E.T.M.R. 33* at [12].
- 23 *Adam Opel EU:C:2007:55; [2007] E.T.M.R. 33*, Opinion of the Advocate General at [37].
- 24 *Adam Opel EU:C:2007:55; [2007] E.T.M.R. 33*, Opinion of the Advocate General at [38].
- 25 *Adam Opel EU:C:2007:55; [2007] E.T.M.R. 33*, Opinion of the Advocate General at [41].
- 26 *Adam Opel [2010] E.T.M.R. 50 (BGH)* at [11].
- 27 *Adam Opel [2010] E.T.M.R. 50 (BGH)* at [21].
- 28 See also Ansgar Ohly, "Interfaces between Trade Mark Protection and Unfair Competition Law: Confusion about Confusion and Misconceptions about Misappropriation?" in Nari Lee et al. (eds), *Intellectual Property, Unfair Competition and Publicity: Convergences and Development* (Cheltenham: Edward Elgar, 2014), equating this notion of confusion gauged by the origin function with the concept of misleading in unfair commercial practices law.
- 29 See for example Po Jen Yap, "Essential Function of a Trade Mark: From BMW to O2" (2008) 29 E.I.P.R. 81; Tobias Cohen Jehoram and Maarten Santman, "Opel/Autec: Does the ECJ Realize What It Has Done?" (2008) 3 J.I.P.L.P. 507.
- 30 Stacey L. Dogan and Mark A. Lemley, "Trademarks and Consumer Search Costs on the Internet" (2004) 41 Hous. L. Rev. 777; Stacey L. Dogan and Mark A. Lemley, "A Search-Costs Theory of Limiting Doctrines in Trademark Law" (2007) 97 Trademark Rep. 1223.
- 31 Dogan and Lemley, "Trademarks and Consumer Search Costs" (2004) 41 Hous. L. Rev. 777, 806.
- 32 An argument can be made that excess of information could be detrimental to the extent that consumers would take longer to sort through them. See for example Dinwoodie and Janis, "Confusion over Use" (2006) 92 Iowa L. Rev. 1597, 1629, addressing information overload.
- 33 Dinwoodie and Janis, "Confusion over Use" (2006) 92 Iowa L. Rev. 1597, 1636.
- 34 *Young & Co Ltd v Grierson Oldham & Co Ltd* (1924) 41 R.P.C. 548 at 577 CA.
- 35 *Young v Grierson* (1924) 41 R.P.C. 548 at 577.
- 36 *Irving's Yeast-Vite Ltd v FA Horsenail* (1933) 50 R.P.C. 139 CA.
- 37 *Trade Marks Act 1905* ("the registration of a person as proprietor of a trade mark shall, if valid, give to such person the exclusive right to the use of such trade mark upon or in connexion with the goods in respect; of which it is registered").
- 38 *Adam Opel EU:C:2007:55; [2007] E.T.M.R. 33*.
- 39 See text to fn.148.
- 40 *Young v Grierson* (1924) 41 R.P.C. 548 at 579.
- 41 It was only when the *Trade Marks Act 1938* came into force that use as a trade mark had been expressly incorporated into s.4(1). This provision, however, has not been adopted in subsequent trade mark legislation.
- 42 *JB Stone & Co Ltd v Steelace Manufacturing Co Ltd [1928] R.P.C. 127 Ch D* at 131.

- 43 *Stone v Steelace Manufacturing* [1928] R.P.C. 127 at 129.
- 44 *Stone v Steelace Manufacturing* [1928] R.P.C. 127 at 200.
- 45 *JB Stone & Co Ltd v Steelace Manufacturing Co Ltd* [1929] R.P.C. 406 CA.
- 46 See for example *Stone v Steelace Manufacturing* [1929] R.P.C. 192 at 199.
- While distinguishing trade mark and passing-off claims, the Court of Appeal still considered the impact that the word "pattern" and the overall appearance of the advertising piece would have upon consumers, matter that would be foreclosed from infringement assessment under the *Trade Marks Act 1938*. See *Stone v Steelace* [1929] R.P.C. 406 at 419–420 (Slessor LJ); cf. *Saville Perfumery Ltd v June Perfect Ltd* (1941) 58 R.P.C. 147 at 161.
- 47 *Mothercare (UK) Ltd v Penguin Books Ltd* [1988] R.P.C. 113 CA (Civ Div) at 119.
- 48 *Mothercare v Penguin Books* [1988] R.P.C. 113 at 114.
- 49 *Mothercare v Penguin Books* [1988] R.P.C. 113 at 115.
- 50 *Mothercare v Penguin Books* [1988] R.P.C. 113 at 115.
- 51 *Mothercare v Penguin Books* [1988] R.P.C. 113 at 121, considering consumer understanding and the presentation of the book title under misrepresentation.
- 52 *Mothercare v Penguin Books* [1988] R.P.C. 113 at 123.
- 53 Interestingly, the Court of Session in Scotland distinguished *Mothercare* and found that the use of "Wet Wet Wet" in the title of a biography to refer to the pop group so named amounted to trade mark use. See *Bravado Merchandising Services Ltd v Mainstream Publishing (Edinburgh) Ltd* [1996] F.S.R. 205 C.S. (OH).
- 54 The other requirements being misrepresentation and damage under *Reckitt & Colman Products Ltd v Borden Inc* [1990] 1 W.L.R. 491 HL.
- 55 This may find an explanation in the restrictive nature of passing off in the UK, with courts rejecting protection to a sign based on reputation alone. See *Starbucks (HK) Ltd v British Sky Broadcasting Group* [2015] UKSC 31; [2015] 1 W.L.R. 2628.
- 56 *Mirage Studios v Counter-Feat Clothing Co Ltd* [1991] F.S.R. 145 Ch D.
- 57 *Tavener Rutledge Ltd v Trexapalm Ltd* [1975] F.S.R. 479 Ch D.
- 58 See for example *Elvis Presley Trade Marks* [1999] R.P.C. 567 CA (Civ Div) at 585; *Diana, Princess of Wales' Trade Mark* [2001] E.T.M.R. 25 (UK Trade Marks Registry); later rephrased under the functions theory in *Linkin Park LLC's Application* [2006] E.T.M.R. 74 (Appointed Person). See also N.M. Dawson, "Non-Trade Mark Use" [2012] I.P.Q. 204, calling such cases a trade mark use issue.
- 59 See for example *Tavener Rutledge* [1975] F.S.R. 479 at 484.
- 60 *Arsenal Football Club Plc v Reed* [2001] 2 C.M.L.R. 23 Ch D at [21]–[42]. See also text to fn.155.
- 61 See *Hearst Holdings* [2014] EWHC 439 (Ch); [2014] E.T.M.R. 34 for a recent example of the question applied under the functions theory.
- 62 *DaimlerChrysler AG v Bloom* 315 F. 3d 932 (8th Cir. 2003).

- 63 *1-800 Contacts Inc v WhenU.Com Inc* 414 F. 3d 400 (2d Cir. 2005).
- 64 See *Rescuecom Corp v Google Inc* 562 F. 3d 123, 128 (2d Cir. 2009),
distinguishing *1-800 Contacts* 414 F. 3d 400 (2d Cir. 2005) on the basis that "the
defendant did not use, reproduce or display the plaintiff's mark *at all*".
- 65 *Hölterhoff v Freiesleben* (C-2/00) EU:C:2002:287; [2002] E.T.M.R. 79 at [8].
- 66 In a reading of trade mark use as a defensive theory insulating certain practices
from trade mark liability, perhaps *Holterhoff* EU:C:2002:287; [2002] E.T.M.R.
79 would be best explained as *spoken use* being one such practice. The defendant
had only referred to the claimant's marks verbally, and never reduced them to
writing. See also *Freiesleben v Hölterhoff* 20 U 137/98 (OLG Dusseldorf) at [4].
- 67 *Google France* EU:C:2010:159; [2011] Bus. L.R. 1.
- 68 *Google France* EU:C:2010:159; [2011] Bus. L.R. 1 at [55]–[59].
- 69 *Rescuecom v Google* 562 F. 3d 123, 128 (2d Cir. 2009).
- 70 *Google France* EU:C:2010:159; [2011] Bus. L.R. 1, Opinion of Advocate
General at [43].
- 71 *Google France* EU:C:2010:159; [2011] Bus. L.R. 1 at [110]–[111].
- 72 *Google France* EU:C:2010:159; [2011] Bus. L.R. 1, Opinion of Advocate
General at [108].
- 73 *L'Oréal v Bellure* EU:C:2009:378; [2009] E.T.M.R. 55.
- 74 Dogan and Lemley, "Trademarks and Consumer Search Costs" (2004) 41 Hous.
L. Rev. 777, 782.
- 75 *L'Oréal SA v eBay International AG* (C-324/09) EU:C:2011:474; [2012] Bus.
L.R. 1369 at [102].
- 76 This relates to the definition of rules and standards based on whether the content
of the law is determined *ex ante* or *ex post*. See for example Louis Kaplow,
"Rules versus Standards: An Economic Analysis" (1992) 42 Duke L.J. 557.
- 77 *Adam Opel* [2010] E.T.M.R. 50 (BGH) at [5].
- 78 *Adam Opel* [2010] E.T.M.R. 50 (BGH) at [12].
- 79 *Adam Opel* EU:C:2007:55, [2007] E.T.M.R. 33, Opinion of the Advocate
General at [11]; *Adam Opel* [2010] E.T.M.R. 50 (BGH) at [3].
- 80 *Adam Opel* [2010] E.T.M.R. 50 (BGH) at [24].
- 81 *L'Oréal v Bellure* EU:C:2009:378; [2009] E.T.M.R. 55 at [61]–[63].
- 82 See fn.66.
- 83 Kur, "Trademarks Function, Don't They?" (2014) 45 I.I.C. 434, 446.
- 84 See *L'Oréal v Bellure* EU:C:2009:378; [2009] E.T.M.R. 55 at [75]–[80].
The CJEU decision linking unfair advantage to the concept of imitations or
replicas within art.3(a)(1)(h) Misleading and Comparative Advertising Directive
(MCAD) made it difficult for the Court of Appeal to rule differently. The notion
of due cause in art.5(2) TMD as a viable defence only came to be developed
later in *Interflora Inc v Marks & Spencer Plc* (C-323/09) EU:C:2011:604,
[2012] Bus. L.R. 1440; and *Leidseplein Beheer BV v Red Bull GmbH* (C-65/12)
EU:C:2014:49, [2014] E.T.M.R. 24.
- 85 *L'Oréal v Bellure* [2010] EWCA Civ 535; [2010] E.T.M.R. 47.

- 86 *Frisdranken Industrie Winters BV v Red Bull GmbH (C-119/10) EU:C:2011:837; [2012] E.T.M.R. 16.*
- 87 *Winters v Red Bull EU:C:2011:837; [2012] E.T.M.R. 16* at [7].
- 88 *Winters v Red Bull EU:C:2011:837; [2012] E.T.M.R. 16* at [16].
- 89 *Winters v Red Bull EU:C:2011:837; [2012] E.T.M.R. 16* at [9]–[11].
- 90 *Winters v Red Bull EU:C:2011:837; [2012] E.T.M.R. 16* at [14].
- 91 *Winters v Red Bull EU:C:2011:837; [2012] E.T.M.R. 16*, Opinion of Advocate General at [25]–[26].
- 92 *Winters v Red Bull EU:C:2011:837; [2012] E.T.M.R. 16*, Opinion of Advocate General at [33].
- 93 TMD art.5(3)(b) and (c) in force at the time.
- 94 *Winters v Red Bull EU:C:2011:837; [2012] E.T.M.R. 16*, Opinion of Advocate General at [36].
- 95 *Winters v Red Bull EU:C:2011:837; [2012] E.T.M.R. 16*, Opinion of Advocate General at [28]–[31].
- 96 *Winters v Red Bull EU:C:2011:837; [2012] E.T.M.R. 16* at [28] and [30].
- 97 *Winters v Red Bull EU:C:2011:837; [2012] E.T.M.R. 16* at [35].
- 98 *Winters v Red Bull EU:C:2011:837; [2012] E.T.M.R. 16* at [36].
- 99 See text to fn.34.
- 100 *Senfleben, "Bringing EU Trademark Protection Back Into Shape" (September 2011).*
- 101 See Birgit Clark, "Bundesgerichtshof Decides in the Opel/Autec Toy Car Case" (2010) 5 J.I.P.L.P. 212, 213, suggesting that the case could have been decided differently in Member States where consumer perceptions and local customs differed.
- 102 As a feature inherent in a standard-based doctrine. However a more abstract rule-based assessment does not necessarily render more predictable results either. See for example Dinwoodie and Janis, "Confusion over Use" (2006) 92 Iowa L. Rev. 1597, 1641–1650.
- 103 See for example *Estee Lauder Cosmetics GmbH & Co OHG v Lancaster Group GmbH (C-220/98) EU:C:2000:8; [2000] 1 C.M.L.R. 515* at [29].
- 104 *Fratelli Graffione SNC v Fransa (C-313/94) EU:C:1996:450; [1997] 1 C.M.L.R. 925* at [22]–[23].
- 105 *DHL Express France SAS v Chronopost SA (C-235/09) EU:C:2011:238; [2011] E.T.M.R. 33* at [46]–[48].
- 106 *Combit v Commit (C-223/15) EU:C:2016:719; [2016] Bus L.R. 1393* at [31]–[33].
- 107 *Ornuia Co-operative Ltd v Tindale & Stantion Ltd Espana SL (C-93/16) EU:C:2017:571; [2017] E.T.M.R. 37* at [33]–[36].
- 108 Graeme B. Dinwoodie, "Territorial Overlaps in Trademark Law: The Evolving European Model" (2017) 92 Notre Dame L. Rev. 1669.
- 109 *Google France EU:C:2010:159; [2011] Bus. L.R. 1.*
- 110 *Winters v Red Bull EU:C:2011:837; [2012] E.T.M.R. 16.*

- 111 Dinwoodie and Janis, "Confusion over Use" (2006) 92 Iowa L. Rev. 1597, 1639.
- 112 See for example Graeme B. Dinwoodie, "Dilution as Unfair Competition: European Echoes" in Rochelle Cooper Dreyfuss and Jane C. Ginsburg (eds), *The Contested Contours of IP* (Cambridge: Cambridge University Press, 2014); Ilanah Simon Fhima, "The Court of Justice's Protection of the Advertising Function of Trade Marks: An (Almost) Sceptical Analysis" (2011) 6 J.I.P.L.P. 325.
- 113 Ansgar Ohly, "Keyword Advertising or Why the ECJ's Functional Approach to Trade Mark Infringement Does Not Function" (2010) 41 I.I.C. 879, 880. See also *Google France EU:C:2010:159*; [2011] *Bus. L.R. 1* at [83]–[84]; *Interflora EU:C:2011:604*, [2012] *Bus. L.R. 1440* at [44]. Whether this standard developed in the context of internet keywords extends to "real world" situations is unclear. See for example *Supreme Petfoods Ltd v Henry Bell & Co (Grantham) Ltd* [2015] *EWHC 256 (Ch)*; [2015] *E.T.M.R. 20* at [158].
- 114 *Viking Gas A/S v Kosan Gas A/S (C-46/10) EU:C:2011:485*; [2011] *E.T.M.R. 58* at [40]. See also Vlotina Liakatou and Spyros Maniatis, "Red soles, gas bottles and ethereal market places: competition, context and trade mark law" (2012) 34 E.I.P.R. 1. This further suggests that the keyword test works under a different rationale, which can be seen as doctrinally incoherent. However, UK courts have been adopting a more contextual approach to keyword cases by infusing the average consumer with market-related evidence. See for example *Victoria Plum Ltd v Victorian Plumbing Ltd* [2016] *EWHC 2911 (Ch)*; [2017] *E.T.M.R. 8*.
- 115 *Supreme Petfoods* [2015] *EWHC 256 (Ch)*; [2015] *E.T.M.R. 20* at [166]–[183].
- 116 *O2 Holdings Ltd v Hutchison 3G Ltd* [2006] *EWCA Civ 1656*; [2007] 2 *C.M.L.R. 15*.
- 117 *O2 Holdings* [2006] *EWCA Civ 1656*; [2007] 2 *C.M.L.R. 15*.
- 118 *O2 Holdings* [2006] *EWCA Civ 1656*; [2007] 2 *C.M.L.R. 15* at [1].
- 119 *O2 Holdings* [2006] *EWCA Civ 1656*; [2007] 2 *C.M.L.R. 15* at [6].
- 120 *O2 Holdings* [2006] *EWCA Civ 1656*; [2007] 2 *C.M.L.R. 15* at [11]. See *O2 Holdings Ltd v Hutchinson 3G UK Ltd (C-533/06) EU:C:2008:339*; [2008] 3 *C.M.L.R. 14* at [20].
- 121 *O2 Holdings* [2006] *EWCA Civ 1656*; [2007] 2 *C.M.L.R. 15* at [33]–[38]. Although framing the CJEU question as one of trade mark use, Jacob LJ conceded there would still be no likelihood of confusion if art.5(1)(b) TMD were applicable.
- 122 *O2 Holdings* [2006] *EWCA Civ 1656*; [2007] 2 *C.M.L.R. 15* at [26].
- 123 *O2 Holdings* [2006] *EWCA Civ 1656*; [2007] 2 *C.M.L.R. 15* at [107]–[110].
- 124 See for example *Origins Natural Resources Inc v Origin Clothing Ltd* [1995] *F.S.R. 280 Ch D* at 284; *Saville Perfumery (1941) 58 R.P.C. 147 CA* at 161.
- 125 *O2 Holdings v Hutchison EU:C:2008:339*; [2008] 3 *C.M.L.R. 14* at [25].
- 126 See *O2 Holdings* [2006] *EWCA Civ 1656*; [2007] 2 *C.M.L.R. 15* at [34], calling it an artificial approach.

- 127 *Specsavers International Healthcare Ltd v Asda Stores Ltd* [2012] EWCA Civ 24,
[2012] E.T.M.R. 17 at [87]; *Comic Enterprises Ltd v Twentieth Century Fox Film*
128 *Corp* [2016] EWCA Civ 41, [2016] E.T.M.R. 22 at [33].
Adam Opel EU:C:2007:55; [2007] E.T.M.R. 33 is referred to in order
to substantiate trade mark use and to set forth the general conditions for
infringement. See *O2 Holdings EU:C:2008:339*; [2008] 3 C.M.L.R. 14 at [56]–
[57].
129 *O2 Holdings* [2006] EWCA Civ 1656; [2007] 2 C.M.L.R. 15 at [33]; *O2*
Holdings EU:C:2008:339; [2008] 3 C.M.L.R. 14, Opinion of Advocate General
[28]–[35].
130 *O2 Holdings EU:C:2008:339*; [2008] 3 C.M.L.R. 14 at [45]–[46].
131 Ohly, "Interfaces between Trade Mark Protection and Unfair Competition Law"
in *Intellectual Property, Unfair Competition and Publicity* (2014).
132 See text to fn.28.
133 *Adam Opel EU:C:2007:55*; [2007] E.T.M.R. 33.
134 *Sabel BV v Puma AG (C-251/95) EU:C:1997:528*; [1998] 1 C.M.L.R. 445.
135 *Sabel v Puma EU:C:1997:528*; [1998] 1 C.M.L.R. 445 at [15].
136 See for example Rebecca Tushnet, "Registering Disagreement: Registration
in Modern American Trademark Law" (2017) 130 Harv. L. Rev. 867, 875 ("I
believe that trademark serves multiple goals. But whatever the purpose of
trademark protection, trademark *registration* is different: it implements the
concept of trademark by creating an administrative procedure to define and
record trademarks on a publicly accessible registry."). See also Dinwoodie,
"Territorial Overlaps in Trademark Law" (2017) 92 Notre Dame L. Rev. 1669,
addressing the issue from a unitary rights perspective.
137 *O2 Holdings EU:C:2008:339*; [2008] 3 C.M.L.R. 14 at [66]–[67].
138 *O2 Holdings EU:C:2008:339*; [2008] 3 C.M.L.R. 14 at [59] ("use of a sign which
is identical with, or similar to, the trade mark which gives rise to a likelihood
of confusion on the part of the public affects or is liable to affect the essential
function of the mark").
139 *O2 Holdings EU:C:2008:339*; [2008] 3 C.M.L.R. 14 at [64].
140 *Adam Opel EU:C:2007:55*; [2007] E.T.M.R. 33.
141 *O2 Holdings EU:C:2008:339*; [2008] 3 C.M.L.R. 14 at [11].
142 See for example Dinwoodie and Gangjee, "The Image of the Consumer in
European Trade Mark Law" in *The Image(s) of the Consumer in EU Law* (2014).
143 *IPC Media Ltd v Media 10 Ltd* [2014] EWCA Civ 1439; [2015] E.C.C. 7.
144 *IPC Media Ltd v Media 10 Ltd* [2013] EWHC 3796 (IPEC); [2014] F.S.R. 25 at
[12].
145 *Victoria Plum* [2016] EWHC 2911 (Ch); [2017] E.T.M.R. 8 at [59]–[79].
146 *Bayerische Motoren Werke Aktiengesellschaft v Technosport London Ltd* [2017]
EWCA Civ 779; [2017] E.T.M.R. 32.
147 *BMW v Technosport London Ltd* [2017] EWCA Civ 779; [2017] E.T.M.R. 32 at
[18].

- 148 *Arsenal EU:C:2002:651; [2003] 1 C.M.L.R. 12.*
 149 See for example John N. Adams, "Arsenal v Reed: No Favours from ECJ" [2003] I.P.Q. 229; Po Jen Yap, "Making Sense of Trade Mark Use" (2007) 29 E.I.P.R. 420; Dawson "Non-Trade Mark Use" [2012] I.P.Q. 204.
- 150 See text to fn.30.
 151 See text to fn.174.
- 152 *Adam Opel EU:C:2007:55; [2007] E.T.M.R. 33.*
 153 Dinwoodie and Janis, "Confusion over Use" (2006) 92 Iowa L. Rev. 1597, 1653.
 154 See also *Senfileben*, "Bringing EU Trademark Protection Back Into Shape" (September 2011), p.19, arguing that "[a] less flexible concept of trademark use, therefore, would reduce the level of harmonization which the Court can attain on the basis of the [Trademark Directive](#)".
- 155 *Arsenal [2001] 2 C.M.L.R. 23* at [42] and [58].
 156 *Arsenal [2001] 2 C.M.L.R. 23* at [60].
 157 *Arsenal [2001] 2 C.M.L.R. 23* at [54]–[58].
 158 *Arsenal [2001] 2 C.M.L.R. 23* at [58].
 159 *British Sugar Plc v James Robertson & Sons Ltd [1997] E.T.M.R. 118 Ch D* at 122.
- 160 *Arsenal Football Club Plc v Reed [2002] EWHC 2695 (Ch); [2003] 1 C.M.L.R. 13* at [27]–[29].
 161 *Arsenal [2001] 2 C.M.L.R. 23* at [54]–[58]. Laddie J had only conceived that s.10 could be construed broadly to cover other non-trade mark uses, but never that the use of the signs made by the defendant was tantamount to trade mark use.
- 162 *Arsenal EU:C:2002:651; [2003] 1 C.M.L.R. 12* at [61].
 163 *Arsenal EU:C:2002:651; [2003] 1 C.M.L.R. 12* at [51].
 164 See also *Arsenal Football Club Plc v Reed [2003] EWCA Civ 96, a* at [42]; cf. *Hearst Holdings [2014] EWHC 439 (Ch), [2014] E.T.M.R. 34*, a merchandising case framed under the functions theory.
- 165 *Arsenal [2003] EWCA Civ 96; [2003] 2 C.M.L.R. 25* at [33] ("The relevant consideration was whether the use complained about was likely to damage that property right or, as the ECJ put it, is likely to affect or jeopardise the guarantee of origin which constitutes the essential function of the mark. That did not depend on whether the use complained of was trade mark use.").
- 166 *L'Oréal v Bellure EU:C:2009:378; [2009] E.T.M.R. 55* at [61]–[63]. See also text to fn.81.
- 167 See for example *Arsenal EU:C:2002:651; [2003] 1 C.M.L.R. 12* at [55], distinguishing *Holterhoff EU:C:2002:287; [2002] E.T.M.R. 79* on the basis that "the use of the sign takes place in the context of sales to consumers".
- 168 *Arsenal EU:C:2002:651; [2003] 1 C.M.L.R. 12*, Opinion of the Advocate General at [73]–[87].
- 169 *Boston Professional Hockey Association Inc v Dallas Cap & Emblem MFG Inc 510 F. 2d 1004 (5th Cir. 1975).*
- 170 *Arsenal EU:C:2002:651; [2003] 1 C.M.L.R. 12* at [45].

- 171 *Adam Opel EU:C:2007:55; [2007] E.T.M.R. 33.*
- 172 See text to fn.30.
- 173 *Arsenal [2003] EWCA Civ 96; [2003] 2 C.M.L.R. 25* at [42].
- 174 *Bristol-Meyers Squibb v Paranova (C-427/93) EU:C:1996:282; [1997] 1 C.M.L.R. 1151* at [47]–[48].
- 175 See for example *Bristol-Meyers Squibb v Paranova EU:C:1996:282, [1997] 1 C.M.L.R. 1151*, Opinion of Advocate General at [4]; *Boehringer Ingelheim KG v Swingward Ltd (C-348/04) EU:C:2007:249, [2007] 2 C.M.L.R. 52.*
- 176 *Parfums Christian Dior SA v Evora BV (C-337/95) EU:C:1997:517, [1998] 1 C.M.L.R.*; *BMW v Deenik (C-63/97) EU:C:1999:82, [1999] 1 C.M.L.R. 1099*; *O2 Holdings EU:C:2008:339; [2008] 3 C.M.L.R. 14* at [11].
- 177 *Hoffmann-la Roche & Co AG v Centrafarm Vertriebsgesellschaft Pharmazeutischer Erzeugnisse mbH (102/77) EU:C:1978:108, [1978] 3 C.M.L.R. 217*; *Bristol-Meyers Squibb EU:C:1996:282, [1997] 1 C.M.L.R. 1151*; *Boehringer Ingelheim v Swingward EU:C:2007:249, [2007] 2 C.M.L.R. 52.*
- 178 See text to fn.34.
- 179 Yap, "Making Sense of Trade Mark Use" (2007) 29 E.I.P.R. 420, 422.
- 180 *Google France EU:C:2010:159; [2011] Bus. L.R. 1.*
- 181 See for example *DHL EU:C:2011:238, [2011] E.T.M.R. 33*; *Combit EU:C:2016:719, [2016] Bus L.R. 1393*; *Ornua EU:C:2017:571, [2017] E.T.M.R. 37*. See also Dinwoodie, "Territorial Overlaps in Trademark Law" (2017) 92 Notre Dame L. Rev. 1669.
- 182 *L'Oréal v Bellure EU:C:2009:378; [2009] E.T.M.R. 55.*
- 183 Dev Gangjee, "Property in Brands: The Commodification of Conversation" in Helena Howe (ed.), *Concepts of Property in Intellectual Property Law* (Cambridge: Cambridge University Press, 2013), p.29.
- 184 *Cosmetic Warriors Ltd v Amazon.Co.Uk Ltd [2014] EWHC 181 (Ch); [2014] E.C.C. 28.*
- 185 *Volkswagen Trade Mark [2012] E.T.M.R. 18 (BGH (Germany))* esp. at [14] ("such an impairment is to be considered a given").
- 186 See for example Dinwoodie and Gangjee, "The Image of the Consumer in European Trade Mark Law" in *The Image(s) of the Consumer in EU Law* (2014); Jennifer Davis, "Revisiting the Average Consumer: An Uncertain Presence in European Trade Mark Law" [2015] I.P.Q. 15.
- 187 Gangjee, "Property in Brands" in *Concepts of Property in Intellectual Property Law* (2013), p.52.